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American Express Company | North America

4Q25 Earnings: Mid-teens EPS Algorithm Intact, but Near-term Expenses Stepping Higher

New '26 EPS guide better vs Cons as we expected (was in-line w/ MSe), with robust top-line continuing at 9-10%. But higher expenses offset, driving ~3% pretax miss in 4Q & fully offset better revs ahead. EPS growth can continue at mid-teens, but we see limited multiple expansion vs 20x PE. Stay EW

Key Takeaways

- 4Q EPS of $3.53 in-line w/ MSe/Cons; but we view as lower quality as pretax income missed by ~3% on higher expenses. Lower tax rate (20% vs ~23%) supported EPS.
- Coming into EPS, we believed Cons. was too light on '26 EPS. Indeed, mgmt's '26 EPS guide of $17.30-17.90 came in 1% above Cons at midpoint (in-line with MSe).
- But in the near-term, two items worked against the stock on Friday: 1) slower card acquisitions (2.9M vs 3M+ in prior qtrs), 2) higher variable expenses in '26.
- But each comes w/ a continued focus on premium: reallocation of marketing from lower tier cards drove slower acquisition (fee-paying mix still up 8% y/y).
- AXP can still deliver mid-teens EPS, w/ marketing key source of leverage. 26e EPS unch as faster top-line offset by higher expense. 27e EPS down 10c on expenses

Encouraged by robust high-single digit revenue growth continuing, supporting Amex's mid-teens EPS algorithm… AXP guided FY26 revenue growth of +9-10% y/y, with the midpoint about 50bps better than we modeled. Notably, we are encouraged by a narrower revenue growth range of just 100bps, compared to 200bps in prior years, which to us indicates management confidence in the near-term outlook. That said, revenues were only slightly better than expected this quarter, with the upside coming largely from service fees/processed/other revenues, Proprietary billings growth missed on an fx-adjusted basis (+7.9% y/y vs MSe 8.5% y/y), slowing ~60bp vs prior quarter, though this did come with a tougher year-ago comp. Net card fees have now decelerated for 3 quarters, but should trough in 1Q26 before resuming growth as existing card holders begin paying their newly higher annual fees in January; management expects this to exit 2026 in the high-teens. From here, 2026 will be a key test for Amex's retention efforts, as US Platinum cardholders begin paying their higher annual fees.

…but larger expense investments coming through for now. The bears are concerned AXP is overpaying for growth; but we'd note that AXP has a strong

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American Express Company (AXP.N, AXP UN)

Consumer Finance | United States of America

Stock Rating	**Equal-weight**
Industry View	**In-Line**
Price target	**$395.00**
Shr price, close (Jan 30, 2026)	$352.17
Mkt cap, curr (mm)	$242,083
52-Week Range	$387.36-220.64

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS ($)**	15.38	17.65	20.50	23.50
Prior EPS ($)**	15.38	17.65	20.60	23.51
P/E	24.1	20.0	17.2	15.0
EPS ($)§	-	-	-	-
Div yld (%)	0.9	1.1	1.2	1.5

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

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history of investing for long-term growth while still being able to generate mid-teens EPS growth. even as expenses step higher. In the near-term, operating leverage should be more subdued as variable customer expenses step higher as Amex continues to focus on attracting premium customers. In 4Q, VCE expense ratio was 70bps higher than expected at nearly 45%, largely on higher card member services on the back of the recent Platinum refresh. For 2026, AXP guided VCE ratio to ~44%, which would be the second year in a row of VCE increasing >100bps after 2 years of staying ~flat. On the positive side of the ledger, marketing efficiency looks to be coming through even stronger than we expected. In recent years AXP has emphasized increased marketing efficiency via investments in digital channels and a focus on premium, where VCE and benefits embedded in premium products effectively acts to replace marketing dollars. 2026 guidance suggests marketing efficiency is coming through quite nicely, with marketing dollars only expected to grow low single-digits in 2026,

What we Changed: We leave 2026e EPS unchanged at $17.65, as higher revenue growth (+9.6% vs prior +9.1%) offset by higher variable customer engagement expenses. We tweaked 2027e EPS lower by 0.5% (10c) to $20.50, as impact of higher VCE offset faster top-line growth in our forecast. Largest source of increase to revenues relative to our prior estimates was faster NII growth, supported by less slowing in loan growth vs +11% in 2025. We now model NII growing 9.4%/7.4% in 2026/27e vs prior +7.7%/+6.9%… representing less of a slowdown vs 2025. 1Q26e EPS moves +17c higher to $3.91 largely on higher revenues (+18c), namely via NII. PT remains $395 or ~19x our 2027e EPS.

AXP Billings Growth Trends

Exhibit 1: AXP Billed Business Growth, Y/Y (fx-adjusted)

Y/Y Growth, %									
Growth by Customer Type (fx-adj.)	**1Q24**	**2Q24**	**3Q24**	**4Q24**	**1Q25**	**2Q25**	**3Q25**	**4Q25**	**4QA vs 3QA**
US Consumer	**8%**	**6%**	**6%**	**9%**	**7%**	**7%**	**9%**	**9%**	**0bps**
US SME	1%	2%	1%	3%	2%	2%	4%	3%	-100bps
US Large & Global Corp	5%	0%	0%	7%	1%	4%	6%	4%	-200bps
Commercial Services	**2%**	**2%**	**1%**	**4%**	**2%**	**2%**	**4%**	**3%**	**-100bps**
International Consumer	14%	13%	13%	15%	12%	12%	14%	12%	-200bps
International SME & Large Corporate	11%	14%	13%	15%	13%	12%	12%	8%	-400bps
Total International Card Services	**13%**	**13%**	**13%**	**15%**	**13%**	**12%**	**13%**	**13%**	**0bps**
Proprietary Billed Business (fx-adj)	**6.7%**	**6.1%**	**5.7%**	**8.4%**	**6.5%**	**6.6%**	**8.5%**	**7.9%**	**-63bps**
Proprietary Billed Business (reported)	**6.2%**	**5.5%**	**5.8%**	**7.5%**	**5.6%**	**7.2%**	**8.7%**	**9.0%**	**29bps**
Processed Volumes / Network Services (fx-adj)	2%	-7%	1%	6%	3%	5%	9%	9%	0bps
Processed Volumes / Network Services (reported)	-2%	-10%	-1%	2%	0%	6%	10%	10%	0bps
Total Network Volumes (fx-adj)	**6%**	**4%**	**5%**	**8%**	**6%**	**6%**	**8%**	**8%**	**0bps**
Total Network Volumes (reported)	**5.1%**	**3.3%**	**5.0%**	**6.8%**	**4.9%**	**7.1%**	**8.7%**	**9.1%**	**43bps**
T&E vs G&S - Y/Y Growth	**1Q24**	**2Q24**	**3Q24**	**4Q24**	**1Q25**	**2Q25**	**3Q25**	**4Q25**	**4QA vs 3QA**
T&E (fx-adj)	8%	7%	6%	10%	6%	5%	8%	8%	0bps
G&S (fx-adj)	6%	6%	6%	8%	7%	7%	9%	8%	-100bps
T&E Categories - Y/Y Growth (fx-adj.)	**1Q24**	**2Q24**	**3Q24**	**4Q24**	**1Q25**	**2Q25**	**3Q25**	**4Q25**	**4QA vs 3QA**
Restaurants	8%	8%	7%	8%	7%	8%	9%	9%	0bps
Lodging	5%	3%	3%	6%	5%	4%	4%	5%	100bps
Airline volume, Worldwide	9%	5%	6%	13%	3%	0%	5%	3%	-200bps
Other T&E	11%	9%	8%	13%	8%	8%	12%	11%	-100bps
Total T&E	**8%**	**7%**	**6%**	**10%**	**6%**	**5%**	**8%**	**8%**	**0bps**
Network Volumes Y/Y Growth by US Consumer Generation (fx-adj)	**1Q24**	**2Q24**	**3Q24**	**4Q24**	**1Q25**	**2Q25**	**3Q25**	**4Q25**	**4QA vs 3QA**
Millennials						10%	12%	12%	0bps
Gen Z					40%	39%	39%	38%	-100bps
Millennials + Gen Z	15%	13%	12%	16%	14%	ND	ND	ND	
Gen X	7%	5%	4%	7%	5%	6%	8%	8%	0bps
Baby Boomer +	3%	2%	0%	4%	1%	1%	4%	2%	-200bps
Total US Consumer	**8%**	**6%**	**6%**	**9%**	**7%**	**7%**	**9%**	**9%**	**0bps**
G&S Y/Y Growth by Segment (fx-adj)	**1Q24**	**2Q24**	**3Q24**	**4Q24**	**1Q25**	**2Q25**	**3Q25**	**4Q25**	**4QA vs 3QA**
US Consumer	8%	6%	6%	8%	7%	7%	9%	9%	0bps
Commercial Services	1%	1%	1%	3%	2%	3%	4%	3%	-100bps
International Card (Consumer + Commercial)	12%	14%	14%	15%	14%	14%	15%	14%	-100bps
Total G&S	**6%**	**6%**	**6%**	**8%**	**7%**	**7%**	**9%**	**8%**	**-100bps**
T&E by Segment - Y/Y Growth (fx-adj)	**1Q24**	**2Q24**	**3Q24**	**4Q24**	**1Q25**	**2Q25**	**3Q25**	**4Q25**	**4QA vs 3QA**
US Consumer	8%	6%	6%	11%	7%	6%	9%	9%	0bps
US Commercial Services	4%	3%	2%	5%	2%	1%	5%	4%	-100bps
International Card (Consumer + Commercial)	14%	11%	11%	14%	9%	8%	8%	9%	100bps
Total T&E	**8%**	**7%**	**6%**	**10%**	**6%**	**5%**	**8%**	**8%**	**0bps**

Source: Company data, Morgan Stanley Research

New vs Old

Exhibit 2: AXP: New vs Old

New vs. Old Forecast Comparison ($ millions)	1Q26E New	1Q26E Old	Difference in EPS	2025 New	2025 Old	Difference in EPS	2026E New	2026E Old	Difference in EPS	2027E New	2027E Old	Difference in EPS
NIM	8.65%	8.47%	$ 0.10	8.35%	8.36%	$ (0.03)	8.64%	8.58%	$ 0.14	8.73%	8.64%	$ 0.24
NII as % of Avg. Card Loans	12.28%	11.98%	$ 0.13	12.01%	12.02%	$ (0.00)	12.13%	12.02%	$ 0.27	12.06%	11.90%	$ 0.40
Total Loans & Leases	161,042	160,471	$ 0.01	154,618	154,507	$ 0.01	168,217	167,004	$ 0.12	182,029	180,537	$ 0.15
Securities & Cash	51,150	50,117	$ 0.02	52,944	52,686	$ 0.02	51,099	50,064	$ 0.10	51,099	50,064	$ 0.11
Net Interest Income	**4,540**	**4,416**	**$ 0.14**	**17,364**	**17,357**	**$ 0.01**	**18,999**	**18,686**	**$ 0.36**	**20,405**	**19,980**	**$ 0.51**
Discount Revenue	9,432	9,390	$ 0.05	37,401	37,407	$ (0.01)	40,284	40,115	$ 0.19	43,086	42,779	$ 0.36
Net Card Fees	2,717	2,745	$ (0.03)	9,993	10,023	$ (0.03)	11,753	11,971	$ (0.25)	13,974	14,412	$ (0.52)
Total Other Revenue	1,886	1,865	$ 0.02	7,471	7,404	$ 0.08	8,103	7,964	$ 0.16	8,767	8,455	$ 0.37
Total Fee and Other Income	**14,035**	**14,001**	**$ 0.04**	**54,865**	**54,834**	**$ 0.03**	**60,139**	**60,051**	**$ 0.10**	**65,827**	**65,647**	**$ 0.22**
Net Revenue	**18,574**	**18,416**	**$ 0.18**	**72,229**	**72,191**	**$ 0.04**	**79,138**	**78,736**	**$ 0.46**	**86,233**	**85,627**	**$ 0.72**
Business Development	1,651	1,682	$ 0.03	6,457	6,522	$ 0.07	7,107	7,157	$ 0.06	7,743	7,797	$ 0.06
Marketing	1,516	1,575	$ 0.07	6,252	6,367	$ 0.13	6,377	6,749	$ 0.43	6,696	7,154	$ 0.55
Marketing & Business Development	3,167	3,257	$ 0.10	12,709	12,888	$ 0.20	13,484	13,906	$ 0.49	14,439	14,951	$ 0.61
Cardmember Rewards	4,794	4,794	$ -	18,409	18,477	$ 0.08	20,322	20,162	$ (0.18)	22,232	21,976	$ (0.30)
Cardmember Services	1,660	1,673	$ 0.02	6,057	5,774	$ (0.32)	7,346	6,816	$ (0.61)	8,536	7,831	$ (0.84)
Salaries and Employee Benefits	2,417	2,268	$ (0.17)	9,016	8,802	$ (0.24)	9,618	9,285	$ (0.38)	10,099	9,651	$ (0.53)
Other Expense	1,677	1,707	$ 0.03	6,987	7,089	$ 0.11	7,120	7,351	$ 0.27	7,333	7,579	$ 0.29
Total Non-Interest Expense	**13,715**	**13,700**	**$ (0.02)**	**53,178**	**53,030**	**$ (0.17)**	**57,890**	**57,519**	**$ (0.43)**	**62,640**	**61,989**	**$ (0.78)**
Memo: Variable Card Member Engagement Expense	*8,105*	*8,149*	*$ 0.05*	*30,923*	*30,772*	*$ (0.17)*	*34,775*	*34,134*	*$ (0.74)*	*38,511*	*37,605*	*$ (1.08)*
Memo: Operating Expenses (adjusted)	*4,094*	*3,975*	*$ (0.14)*	*16,003*	*15,891*	*$ (0.13)*	*16,738*	*16,636*	*$ (0.12)*	*17,433*	*17,230*	*$ (0.24)*
Total Expense Ratio	*73.8%*	*74.4%*	*(55bps)*	*73.6%*	*73.5%*	*17bps*	*73.2%*	*73.1%*	*10bps*	*72.6%*	*72.4%*	*25bps*
Variable Card Member Engagement Ratio	43.6%	44.2%	*(61bps)*	42.8%	42.6%	*19bps*	43.9%	43.4%	*59bps*	44.7%	43.9%	*74bps*
PPOP	**4,859**	**4,717**	**$ 0.16**	**19,051**	**19,161**	**$ (0.12)**	**21,248**	**21,217**	**$ 0.04**	**23,593**	**23,638**	**$ (0.05)**
PPOP Growth, Y/Y	*8.5%*	*5.3%*	*318bps*	*8.6%*	*9.2%*	*(63bps)*	*11.5%*	*10.7%*	*80bps*	*11.0%*	*11.4%*	*(37bps)*
Operating Leverage Growth	*-0.4%*	*-1.2%*	*81bps*	*-0.3%*	*-0.1%*	*(25bps)*	*0.7%*	*0.6%*	*10bps*	*0.8%*	*1.0%*	*(22bps)*
Provisions	**1,362**	**1,383**	**$ 0.02**	**5,256**	**5,287**	**$ 0.03**	**5,689**	**5,713**	**$ 0.03**	**6,158**	**6,143**	**$ (0.02)**
Net Charge-Offs	1,305	1,308	$ 0.00	4,840	4,822	$ (0.02)	5,157	5,159	$ 0.00	5,652	5,635	$ (0.02)
Reserve Build/(Release)	57	75	$ 0.02	416	465	$ 0.05	532	554	$ 0.03	507	508	$ 0.00
Lending NCO Rate	***2.44%***	***2.45%***	***(1bps)***	***2.24%***	***2.24%***	***1bps***	***2.22%***	***2.22%***	***0bps***	***2.25%***	***2.25%***	***-***
Charge Card NCO Rate	*1.15%*	*1.15%*	*-*	*1.24%*	*1.19%*	*5bps*	*1.16%*	*1.16%*	*-*	*1.20%*	*1.20%*	*-*
Pretax Net Income	**3,498**	**3,334**	**$ 0.19**	**13,795**	**13,874**	**$ (0.09)**	**15,559**	**15,504**	**$ 0.06**	**17,434**	**17,494**	**$ (0.07)**
Tax Rate	23%	23%	$ (0.00)	21.5%	22.0%	$ 0.10	22.5%	22.5%	$ (0.00)	22.5%	22.5%	$ 0.00
Preferred Dividends/Participating Shrs	33	32	$ (0.00)	132	130	$ (0.00)	140	139	$ (0.00)	151	152	$ 0.00
Operating Income	**2,677**	**2,551**	**$ 0.18**	**10,701**	**10,696**	**$ 0.01**	**11,918**	**11,876**	**$ 0.06**	**13,360**	**13,406**	**$ (0.07)**
Share Count	685	682	$ (0.02)	696	695	$ (0.01)	675	673	$ (0.06)	652	651	$ (0.03)
Operating EPS	**$3.91**	**$3.74**	**$0.17**	**$15.38**	**$15.38**	**-**	**$17.65**	**$17.65**	**-**	**$20.50**	**$20.60**	**($0.10)**
Reported EPS	$3.91	$3.74	$0.17	$15.38	$15.38	-	$17.65	$17.65	-	$20.50	$20.60	($0.10)
Old vs. New - % Chg			4.5%			0.0%			0.0%			-0.5%
Growth vs. Prior Year	8%	6%		15%	15%		15%	15%		16%	17%	

Source: Company data, Morgan Stanley Research Estimates

Exhibit 3: AXP 2026 Guidance & Long-Term Growth Aspirations vs MSe & Consensus

	2026 Guidance, Long-Term Aspiration		MSe			Consensus	
	Category	Guidance	MSe, OLD	MSe, NEW	New vs Old	Cons	Guidance vs Cons.
EPS	EPS, 2026	$17.30-17.90	$17.65	$17.65	IN-LINE	$17.43	BETTER
EPS	EPS Growth, Long-Term Aspiration	Mid-teens	+15.2%	+15.2%	IN-LINE	+12.3%	BETTER
Revenue	Revenue Growth, 2026	9-10%	+9.1%	+9.6%	BETTER	+9.1%	BETTER
Revenue	Revenue Growth, Long-Term Aspiration	10%+	+8.7%	+9.0%	BETTER	+8.3%	BETTER

Note: For Long-Term Aspiration, we are comparing against 2025-28e 3-yr CAGR for MSe & Consensus growth estimates.
Source: Company data, Visible Alpha Consensus Data, Morgan Stanley Research Estimates

Actual vs Estimate

Exhibit 4: AXP Actual vs. Estimates

AXP Quarterly Actuals vs. Estimates

Income Statement												
($ millions)	4Q25			vs. Consensus			Sequential Comparison			YoY Comparison		
	Actual	MS est	Diff	4Q25		Diff	3Q25	Actual	MS est	4Q24	Actual	MS est
NII/Avg Card Member Loans	12.46%	12.11%	*35 bp*	12.05%		*41 bp*	12.36%	*10 bp*	*-25 bp*	11.73%	*73 bp*	*38 bp*
Net Interest Income	**4,522**	**4,515**	**$ 0.01**	**4,514**	**$**	**0.01**	**4,486**	**1%**	**1%**	**4,038**	**12%**	**12%**
Discount Revenue	9,884	9,890	$ (0.01)	9,903	$	(0.02)	9,413	5%	5%	9,177	8%	8%
Net Card Fees	2,629	2,659	$ (0.03)	2,622	$	0.01	2,551	3%	4%	2,245	17%	18%
Service fees and other revenue	1,945	1,878	$ 0.08	1,864	$	0.09	1,976	-2%	-5%	1,719	13%	9%
Total Fee Income	**14,458**	**14,427**	**$ 0.03**	**14,402**	**$**	**0.06**	**13,940**	**4%**	**3%**	**13,141**	**10%**	**10%**
Total Revenue	**18,980**	**18,942**	**$ 0.04**	**18,917**	**$**	**0.07**	**18,426**	**3%**	**3%**	**17,179**	**10%**	**10%**
Compensation	2,505	2,291	$ (0.24)	2,268	$	(0.27)	2,239	12%	2%	2,102	19%	9%
Marketing	1,612	1,727	$ 0.13	1,709	$	0.11	1,599	1%	8%	1,614	0%	7%
Business Development	1,728	1,793	$ 0.07	1,794	$	0.07	1,611	7%	11%	1,637	6%	10%
Marketing and Business Development	3,340	3,519	$ 0.20	3,502	$	0.18	3,210	4%	10%	3,251	3%	8%
Cardmember Rewards	4,805	4,873	$ 0.08	4,884	$	0.09	4,608	4%	6%	4,430	8%	10%
Cardmember Services	1,951	1,668	$ (0.32)	1,635	$	(0.35)	1,477	32%	13%	1,278	53%	31%
Other Expenses	1,875	1,977	$ 0.11	2,004	$	0.14	1,780	5%	11%	2,070	-9%	-5%
Non-Interest Expenses	**14,476**	**14,328**	**$ (0.17)**	**14,287**	**$**	**(0.21)**	**13,314**	**9%**	**8%**	**13,131**	**10%**	**9%**
Expense Ratio	*76.3%*	*75.6%*	*63 bp*	*75.5%*		*75 bp*	*72.3%*	*401 bp*	*339 bp*	*76.4%*	*-17 bp*	*-79 bp*
Variable Customer Engagement as % of Revs	*44.7%*	*44.0%*	*71 bp*	*43.9%*		*76 bp*	*41.8%*	*293 bp*	*223 bp*	*42.8%*	*194 bp*	*124 bp*
PPOP	**4,504**	**4,614**	**$ (0.12)**	**4,630**	**$**	**(0.14)**	**5,112**	**-12%**	**-10%**	**4,048**	**11%**	**14%**
	(0.02)											
Provisions	**1,414**	**1,445**	**$ 0.03**	**1,442**	**$**	**0.03**	**1,287**	**10%**	**12%**	**1,292**	**9%**	**12%**
Reserve Build/(Bleed)	141	190	$ 0.06	246	$	0.12	126	12%	51%	153	-8%	24%
NCOs (principal)	1,091	1,087	$ (0.00)				993	10%	10%	980	11%	11%
NCOs (interest/fee) + Other	182	168	$ (0.02)				168	8%	0%	159	14%	5%
Tax Rate	20%	23%	$ 0.10	*23%*	$	0.11	24%	*-381 bp*	*-163 bp*	21%	*-94 bp*	*124 bp*
Pref Divi	33	31	$ (0.00)	33	$	(0.00)	34	-3%	-8%	31	6%	1%
Operating Net Income	**2,429**	**2,424**	**$ 0.01**	**2,429**	**$**	**(0.00)**	**2,868**	**-15%**	**-15%**	**2,139**	**14%**	**13%**
Share Count	688	687	$ (0.00)	687	$	(0.00)	693	-1%	-1%	704	-2%	-2%
Operating EPS	**$3.53**	**$3.53**	**–**	**$3.53**		**–**	**$4.14**	**-15%**	**-15%**	**$3.04**	**16%**	**16%**
Operating EPS vs. Factset consensus	***$3.53***	***$3.53***	***–***	***$3.54***		***($0.01)***	***$4.14***	***-15%***	***-15%***	***$3.04***	***16%***	***16%***
Reported EPS	***$3.53***	***$3.53***	***$0.00***				***$4.14***	***-15%***	***-15%***	***$3.04***	***16%***	***16%***
Book Value / Share	$46.45	$44.65	4%	$45.66		2%	$44.76	4%	0%	$40.88	14%	9%

Source: Company data, Visible Alpha Consensus Data, Morgan Stanley Research Estimate

Exhibit 5: AXP Actual vs. Estimates (continued)

Aggregate Card Spending											
($ billions)	4Q25			vs. Consensus		Sequential Comparison			YoY Comparison		
Network Volumes	**Actual**	**MS est**	**Diff**	**4Q25**	**Diff**	**3Q25**	**Actual**	**MS est**	**4Q24**	**Actual**	**MS est**
Proprietary Billed Business	445.1	445.0	0.0%			421.0	5.7%	5.7%	408.4	9.0%	9.0%
Processed Volumes	61.1	60.5	0.9%			58.2	5.0%	4.0%	55.6	9.9%	8.9%
Total Network Volumes	**506.2**	**505.5**	**0.1%**	**502.1**	**0.8%**	**479.2**	**5.6%**	**5.5%**	**464.0**	**9.1%**	**8.9%**
Y/Y Growth	**Actual**	**MS est**	**Diff**	**4Q25**	**Diff**	**3Q25**	**Actual**	**MS est**	**4Q24**	**Actual**	**MS est**
Proprietary Billed Business	9.0%	9.0%	*3 bp*			8.7%	*29 bp*	*26 bp*	7.5%	*146 bp*	*143 bp*
Processed Volumes	9.9%	8.9%	*103 bp*			8.4%	*151 bp*	*48 bp*	1.8%	*806 bp*	*703 bp*
Total Network Volumes	**9.1%**	**8.9%**	***15 bp***	**8.2%**	***89 bp***	**8.7%**	***43 bp***	***29 bp***	**6.8%**	***228 bp***	***214 bp***
Y/Y Growth (FX-adjusted)	**Actual**	**MS est**	**Diff**	**4Q25**	**Diff**	**3Q25**	**Actual**	**MS est**	**4Q24**	**Actual**	**MS est**
Proprietary Billed Business	8%	8.5%	-50 bp			8.5%	-48 bp	2 bp	8.4%	-42 bp	8 bp
Processed Volumes	9%	8.4%	60 bp			9.0%	0 bp	-60 bp	6.0%	300 bp	240 bp
Total Network Volumes	**8%**	**8.4%**	***-40 bp***			**8.0%**	***0 bp***	***40 bp***	**8.0%**	***0 bp***	***40 bp***

Spending Per Card											
($ billions)	4Q25			vs. Consensus		Sequential Comparison			YoY Comparison		
Spend Per Proprietary Card	**Actual**	**MS est**	**Diff**	**4Q25**	**Diff**	**3Q25**	**Actual**	**MS est**	**4Q24**	**Actual**	**MS est**
Proprietary Billed Business Per Proprietary Card	20,391	20,326	0.3%			19,422	5.0%	4.7%	19,434	4.9%	4.6%
Total Network Volumes Per Proprietary Card	**23,190**	**23,090**	**0.4%**			**22,107**	**4.9%**	**4.4%**	**22,080**	**5.0%**	**4.6%**
Y/Y Growth											
Proprietary Billed Business Per Proprietary Card	4.9%	4.6%	*34 bp*			4.5%	*43 bp*	*9 bp*	3.4%	*148 bp*	*115 bp*
Total Network Volumes Per Proprietary Card	**5.0%**	**4.6%**	***45 bp***			**4.5%**	***57 bp***	***11 bp***	**2.8%**	***228 bp***	***182 bp***
Spend Per Card (Total)	**Actual**	**MS est**	**Diff**	**4Q25**	**Diff**	**3Q25**	**Actual**	**MS est**	**4Q24**	**Actual**	**MS est**
Proprietary Billed Business Per Card	11,557	11,512	0.4%			11,047	4.6%	4.2%	11,090	4.2%	3.8%
Total Network Volumes Per Card	**13,143**	**13,078**	**0.5%**			**12,574**	**4.5%**	**4.0%**	**12,600**	**4.3%**	**3.8%**
Y/Y Growth											
Proprietary Billed Business Per Card Per Card	4.2%	3.8%	*41 bp*			4.3%	*-11 bp*	*-52 bp*	3.9%	*28 bp*	*-12 bp*
Total Network Volumes Per Card	**4.3%**	**3.8%**	***52 bp***			**4.3%**	***3 bp***	***-49 bp***	**3.2%**	***108 bp***	***56 bp***
Cards-in-Force	**Actual**	**MS est**	**Diff**	**4Q25**	**Diff**	**3Q25**	**Actual**	**MS est**	**4Q24**	**Actual**	**MS est**
(millions)	4Q25			vs. Consensus		Sequential Comparison			YoY Comparison		
Proprietary Cards in Force	86.6	86.9	-0.3%			86.0	0.7%	1.0%	83.6	3.6%	3.9%
EOP Total Cards in Force	152.8	153.4	-0.4%			151.2	1.1%	1.4%	146.5	4.3%	4.7%
Proprietary New Cards Acquired	2.9	NF				3.2	-9.4%		3.0	-3.3%	
Y/Y Growth											
Proprietary Cards in Force	3.6%	3.9%	*-31 bp*			3.7%	*-15 bp*	*16 bp*	4.2%	*-65 bp*	*-34 bp*
EOP Total Cards in Force	4.3%	4.7%	*-38 bp*			3.9%	*38 bp*	*77 bp*	3.8%	*55 bp*	*93 bp*
Proprietary New Cards Acquired	-3.3%					-3.0%	*-30 bp*		3.4%	*-678 bp*	
Calculated Discount Rate	1.95%	1.96%	*0 bp*	1.97%	*-2 bp*	1.96%	*-1 bp*	*-1 bp*	1.98%	*-3 bp*	*-2 bp*

Liquidity											
($ millions)	4Q25			vs. Consensus		Sequential Comparison			YoY Comparison		
Deposits	**Actual**	**MS est**	**Diff**	**4Q25**	**Diff**	**3Q25**	**Actual**	**MS est**	**4Q24**	**Actual**	**MS est**
Ending Deposits											
EOP Total Deposits	152,488	152,281	0%			149,883	1.7%	1.6%	139,413	9.4%	9.2%
Growth % Q/Q	1.7%	1.6%	*14 bp*			0.3%	*141 bp*	*127 bp*	2.9%	*-120 bp*	*-133 bp*
Growth % Y/Y	9.4%	9.2%	*15 bp*			10.7%	*-129 bp*	*-144 bp*	8.0%	*143 bp*	*128 bp*

Credit Quality											
($ billions)	4Q25			vs. Consensus		Sequential Comparison			YoY Comparison		
Cardmember Loans	**Actual**	**MS est**	**Diff**	**4Q25**	**Diff**	**3Q25**	**Actual**	**MS est**	**4Q24**	**Actual**	**MS est**
NCOs ($m)	828	842	-2%			760	9%	11%	735	15%	15%
NCO Rate (principal only)	2.20%	2.26%	*-6 bp*	2.35%	*-15 bp*	2.09%	*11 bp*	*17 bp*	2.13%	*7 bp*	*13 bp*
NCO Rate (total, incl interest/fees)	2.70%	2.71%	*-1 bp*			2.56%	*14 bp*	*15 bp*	2.60%	*10 bp*	*11 bp*
30+ DQs	1.40%	1.40%	*0 bp*			1.40%	*0 bp*	*0 bp*	1.40%	*0 bp*	*0 bp*
Reserve Ratio	3.89%	3.98%	*-9 bp*	3.99%	*-10 bp*	4.05%	*-16 bp*	*-7 bp*	4.07%	*-17 bp*	*-8 bp*
Avg Card Loans	143,974	147,887	-2.6%	148,636		143,974	0.0%	2.7%	136,972	5.1%	8.0%
Loan Growth (% YoY)	*5.1%*	*8.0%*	*-286 bp*	*8.5%*		*8.3%*	*-317 bp*	*-32 bp*	*12.5%*	*-737 bp*	*-451 bp*
EOP Card Loans	151,832	150,538	0.9%	151,838		144,814	4.8%	4.0%	139,674	8.7%	7.8%
Loan Growth (% YoY)	*8.7%*	*7.8%*	*93 bp*			*7.6%*	*107 bp*	*15 bp*	*10.9%*	*-215 bp*	*-308 bp*
EOP Total Loans	165,217	161,371	2.4%			157,756	4.7%	2.3%	149,664	10.4%	7.8%
Loan Growth (% YoY)	*10.4%*	*7.8%*	*257 bp*			*10.3%*	*8 bp*	*-249 bp*	*12.5%*	*-207 bp*	*-464 bp*
Charge Card (Receivables)	**Actual**	**MS est**	**Diff**	**4Q25**	**Diff**	**3Q25**	**Actual**	**MS est**	**4Q24**	**Actual**	**MS est**
Net Charge-Offs ($millions)	208	175	19.0%			183	14%	-4%	164	27%	7%
NCO Rate (total, incl interest/fees)	1.30%	1.15%	*15 bp*	1.18%	*12 bp*	1.20%	*10 bp*	*-5 bp*	1.10%	*20 bp*	*5 bp*
30+ DQs	0.90%	1.00%	*-10 bp*			1.00%	*-10 bp*	*0 bp*	0.90%	*0 bp*	*10 bp*
Reserve Ratio	0.29%	0.34%	*-5 bp*	0.34%	*-5 bp*	0.33%	*-4 bp*	*1 bp*	0.29%	*0 bp*	*5 bp*
Avg Cardmember receivables (calculated)	61,527	60,311	2.0%	61,459		60,311	2.0%	0.0%	59,227	3.9%	1.8%
Total Card Loans + Charge Card	**Actual**	**MS est**	**Diff**	**4Q25**	**Diff**	**3Q25**	**Actual**	**MS est**	**4Q24**	**Actual**	**MS est**
Total Principal NCO Ratio	2.00%	1.94%	*6 bp*	2.01%	*-1 bp*	1.83%	*17 bp*	*11 bp*	1.82%	*18 bp*	*12 bp*
Total Reserve Ratio	2.8%	2.9%	*-9 bp*	2.9%	*-9 bp*	2.9%	*-10 bp*	*-2 bp*	2.9%	*-9 bp*	*-1 bp*
Other Loans & Receivables	**Actual**	**MS est**	**Diff**	**4Q25**	**Diff**	**3Q25**	**Actual**	**MS est**	**4Q24**	**Actual**	**MS est**
NCOs, other loans	52	64				47			53		
Reserve Ratio, other loans	2.96%	2.95%	*1 bp*			2.73%	*23 bp*		2.10%	*85 bp*	
Reserve Ratio, other receivables	1.87%	0.59%	*128 bp*			0.50%	*137 bp*		0.75%	*112 bp*	
Capital											
CET1 Ratio	10.5%	10.3%	18 bp			10.5%	4 bp	-15 bp	10.5%	-4 bp	-22 bp
Repurchases ($m)	1,000	1,962	-49%	1,736	-42%	2,207	-55%	-11%	1,026	91%	91%

Source: Company data, Visible Alpha Consensus Data, Morgan Stanley Research Estimate

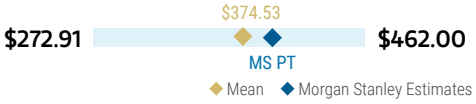
Risk Reward – American Express Company (AXP.N)

Platinum Relaunch Can Keep Revenue Growth Going, but Valuation There

PRICE TARGET $395.00

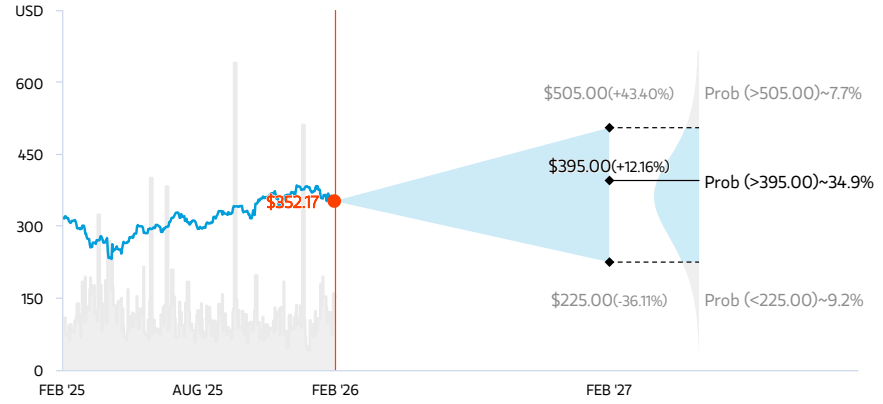
Our price target is based on P/E, Sum of the Parts, P/B vs ROE (a deconstructed PE) and cost of equity relative to our outlook for asset growth, credit risk, operating efficiency, capital return. Our price target is 19x P/E on our 2027e EPS.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



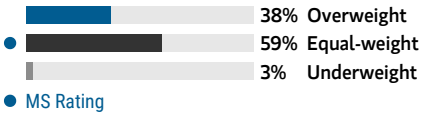
Key: Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 30 Jan 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology here

EQUAL-WEIGHT THESIS

- AXP trades at a high P/E of ~20x NTM EPS, with much of the good news already in the price. AXP's high income consumer is in a good spot, but AXP is nonetheless exposed to any growth slowdown. Our economists expect slower consumer spending this year.
- Management confidence in the long-term growth targets is a positive, but higher expenses are coming through in the near-term. We also still model Amex's revenue growth running below its 10%+ aspiration in our model.
- Credit continues to outperform peers, and its prime portfolio as well as strong utility value associated with fee-paying cards should result in a continuation of better delinquencies and credit losses vs peers.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

BULL CASE $505.00

20x Bull Case 2027e EPS

Faster growth environment, lower unemployment. Tariffs impacts are relatively minimal; economy accelerates sharply as GDP growth accelerates. Unemployment drifts below 4%, driving inflation well above the Fed's target through 2026, and credit improves meaningfully faster vs. base case. Higher productivity drives consumer spend higher.

BASE CASE $395.00

19x 2027e Base Case EPS

Slower growth environment, mostly higher unemployment, but no credit cycle. Tariff pass through keeps inflation elevated with Fed delivering 2 rate cuts in 2026. GDP growth slows modestly as higher prices on imports reduces consumers' unit consumption levels, but rebounds in late 2026. Slower employment growth drives a modest increase in unemployment rate, but without a major escalation in layoffs.

BEAR CASE $225.00

16x Bear Case 2027e EPS

Mild Recession. The U.S. enters a mild recession in 2026 with unemployment exceeding 5%, driving credit card NCOs higher to 6% (vs ~4% today). Fed cuts more aggressively as risks to growth mount.

Risk Reward – American Express Company (AXP.N)

KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Revenue Growth (%)	9.5	9.7	8.9	8.6
Billed Business Growth (%)	7.5	8.7	7.6	7.6
Average Loan Growth (%)	11.3	8.9	8.2	7.1
Opex Operating Leverage (%)	3.5	4.9	4.7	4.7
Card Loan NCO Rate (Principal Only) (%)	2.24	2.23	2.25	2.30

CATALYST CALENDAR

Date	Event
29 Apr 2026 - 03 May 2026	American Express Co Annual Shareholders Meeting

Source: Refinitiv, Morgan Stanley

INVESTMENT DRIVERS

- Monthly credit data on 15th of each month
- Persistence of robust top line growth
- Ability to moderate expenses and drive operating leverage
- Credit trajectory

GLOBAL REVENUE EXPOSURE

- 0-10% APAC, ex Japan, Mainland China and India
- 0-10% Europe ex UK
- 0-10% Japan
- 0-10% Latin America
- 0-10% Mainland China
- 0-10% UK
- 70-80% North America

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

2/5 BEST	24 Month Horizon	4/5 MOST	3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- T&E tailwinds from higher income/spending consumers
- Robust revenue growth can persist into 2026+
- "No landing" macro scenario
- Elevated capital return on above-peer ROEs, relaxation of B3 endgame proposal

RISKS TO DOWNSIDE

- Hard landing recession drives white collar job losses
- High end consumer spend slows sharply
- Discount rate pressure re-emerges
- Neg. operating leverage as AXP reramps marketing/incentives

OWNERSHIP POSITIONING

Inst. Owners, % Active	56.8%
HF Sector Long/Short Ratio	1.5x
HF Sector Net Exposure	9.1%

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Net income ($, mm)	◆ 11,876 *Note: There are not sufficient brokers supplying consensus data for this metric*
EPS ($)	◆ 17.65 *Note: There are not sufficient brokers supplying consensus data for this metric*
ROE (%)	◆ 38.9 *Note: There are not sufficient brokers supplying consensus data for this metric*
DPS ($)	◆ 3.80 *Note: There are not sufficient brokers supplying consensus data for this metric*

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

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The following analysts hereby certify that their views about the companies and their securities discussed in this report are accurately expressed and that they have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report: Jeffrey Adelson, CFA.

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Global Stock Ratings Distribution

(as of January 31, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1520	41%	425	48%	28%	685	42%
Equal-weight/Hold	1579	43%	375	42%	24%	713	44%
Not-Rated/Hold	4	0%	1	0%	25%	1	0%
Underweight/Sell	592	16%	89	10%	15%	232	14%
Total	3,695		890			1631	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

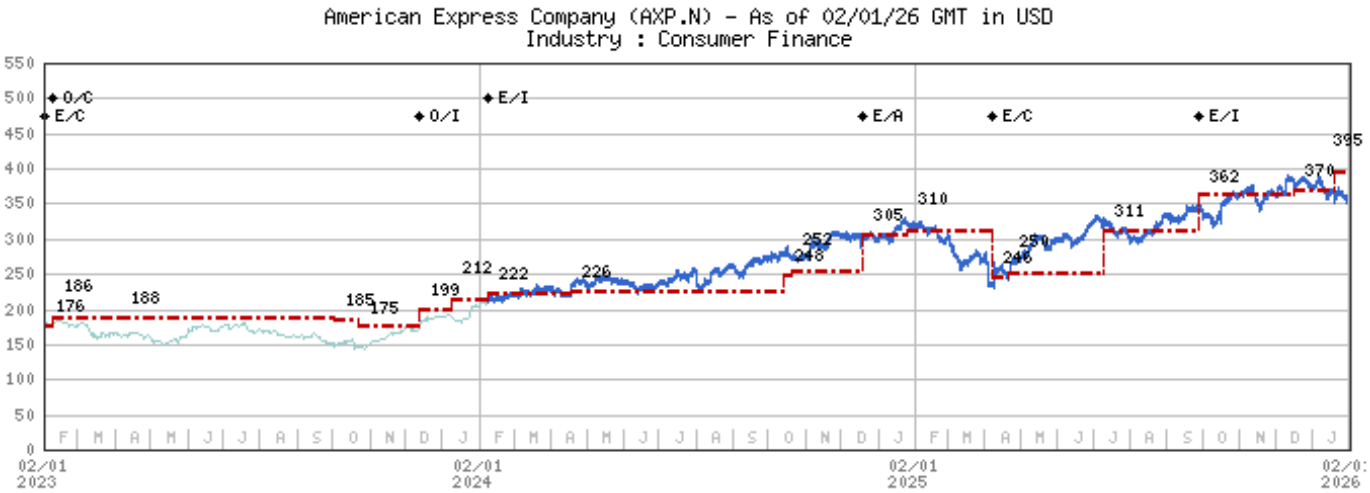
Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 2/1/21 : O/NR; 7/12/22 : E/NR; 11/28/22 : E/NR; 12/1/22 : E/C; 2/8/23 : O/C; 12/13/23 : O/I; 2/8/24 : E/I; 12/19/24 : E/A; 4/7/25 : E/C; 9/28/25 : E/I

Price Target History: 1/27/21 : 165; 4/1/21 : 166; 4/25/21 : 171; 7/26/21 : 182; 7/29/21 : 200; 9/16/21 : 195; 10/25/21 : 209; 12/6/21 : 211; 2/1/22 : 218; 3/28/22 : 223; 7/12/22 : 143; 7/25/22 : 155; 10/24/22 : 154; 12/1/22 : 148; 1/29/23 : 176; 2/8/23 : 186; 4/5/23 : 188; 10/3/23 : 185; 10/23/23 : 175; 12/13/23 : 199; 1/9/24 : 212; 2/8/24 : 222; 4/19/24 : 226; 10/14/24 : 248; 10/20/24 : 252; 12/19/24 : 305; 1/26/25 : 310; 4/7/25 : 246; 4/20/25 : 250; 7/9/25 : 311; 9/28/25 : 362; 12/16/25 : 370; 1/20/26 : 395

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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INDUSTRY COVERAGE: Consumer Finance

COMPANY (TICKER)	RATING (AS OF)	PRICE* (01/30/2026)
Jeffrey Adelson, CFA		
Ally Financial Inc (ALLY.N)	O (02/08/2024)	$42.28
American Express Company (AXP.N)	E (02/08/2024)	$352.17
Bread Financial Holdings, Inc. (BFH.N)	U (04/07/2025)	$72.54
Capital One Financial Corporation (COF.N)	O (07/09/2025)	$218.93
Navient Corp (NAVI.O)	E (12/01/2022)	$9.81
Rocket Cos Inc (RKT.N)	E (08/14/2025)	$17.93
SLM Corp (SLM.O)	E (12/09/2025)	$27.15
SoFi Technologies, Inc. (SOFI.O)	U (01/31/2024)	$22.81
Synchrony Financial (SYF.N)	E (04/07/2025)	$72.63
UWM Holdings Corp (UWMC.N)	E (09/28/2025)	$4.91

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